

Zero-Knowledge Private Zakat: A Privacy-Preserving Donation Protocol for Blockchain-Based Islamic Social Finance

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Abstract—Zakat, one of the five pillars of Islam, represents a mandatory annual obligation for wealth redistribution with profound social welfare implications. Despite growing interest in blockchain-based zakat platforms, existing systems expose complete donor-recipient transaction records on public ledgers, creating a fundamental tension with Islamic principles of dignity preservation. This paper proposes a Zero-Knowledge Private Zakat (ZK-PZ) protocol that enables cryptographically private donations while maintaining verifiable transparency and Sharia compliance. The proposed architecture leverages off-chain zero-knowledge proving infrastructure, implementing programmable privacy through Noir circuits, nullifier-based double-donation prevention, and selective disclosure mechanisms. Donors can contribute zakat with complete anonymity or selective disclosure while receiving SBT receipts as proof of donation. The protocol preserves institutional trustworthiness through on-chain verification of proof validity while eliminating public exposure of individual transaction data. A prototype implementation on Ethereum Sepolia demonstrates technical feasibility, with UltraHONK proof generation averaging 247 ms and end-to-end donation gas costs of 721,345 gas per transaction. The results indicate that cryptographic privacy and institutional transparency are simultaneously achievable, opening a practical path toward privacy-respecting digital zakat infrastructure for Muslim-majority jurisdictions. This work proposes a domain-specific privacy protocol designed for Islamic social finance, directly addressing the maqasid al-shariah imperative of *nafs* (dignity) protection.

Index Terms—Aztec Network, Blockchain, Ethereum Sepolia, Islamic FinTech, Noir, Nullifier Mechanism, Privacy-Preserving Donations, Sharia Compliance, Zakat, Zero-Knowledge Proofs

I. INTRODUCTION

Zakat management at the intersection of Islamic jurisprudence and modern blockchain infrastructure presents both an opportunity and a challenge. BAZNAS [1] reports that the annual zakat potential in Indonesia alone is estimated at Rp 327 trillion (approximately USD 20 billion), while actual collection remains a fraction of that figure.

The advent of distributed ledger technology has prompted substantial research into blockchain-based zakat systems. Babas et al. [2] demonstrated that blockchain can provide decentralized zakat collection and distribution. Nazeri et al.

[3] found that blockchain features such as transparency, traceability, and security align with zakat management objectives in Malaysia. Khairi et al. [4] developed a zakat collection blockchain system that offers automated disbursement and an immutable audit trail. However, these systems introduce a critical privacy paradox. By placing complete donor-recipient transaction records on public ledgers, they inadvertently expose socioeconomic vulnerabilities. The principle of maqasid al-shariah (objectives of Islamic law) explicitly protects *nafs* (life and dignity) of individuals [5, 6]. In Islamic jurisprudence, preservation of donor and recipient privacy during charitable giving is considered a virtuous act that maintains dignity for both parties. This ethical foundation motivates the technical contribution: a protocol that uses ZK proofs to reconcile Islamic jurisprudential requirements with modern blockchain infrastructure.

Zero-Knowledge Proofs (ZKPs) offer a cryptographic resolution to this paradox. Hameed et al. [7] survey ZKP constructions, and Wen et al. [8] analyze non-interactive variants (zk-SNARKs) suitable for blockchain deployment. The Aztec Network [9] provides an infrastructure for privacy-preserving transactions on Ethereum. Through its hybrid public-private state model, Aztec enables programmable privacy through Noir circuits [10] and the UltraHONK proof system for efficient verification. Despite these advances, no prior work has proposed a domain-specific protocol for privacy-preserving zakat donations. This paper addresses that gap by designing, implementing, and evaluating a ZK Private Zakat (ZK-PZ) protocol. The work formalizes a private transaction model for zakat donations using off-chain proving with on-chain verification, designs Noir circuits for Sharia-compliant eligibility verification, develops a nullifier-based double-donation prevention mechanism, and deploys a working prototype on Ethereum Sepolia. The study explores how Aztec’s private transaction infrastructure can be adapted for zakat donations while maintaining institutional accountability. It examines what Noir circuit design patterns enable Sharia-compliant eligibility verification. It also investigates how the protocol satisfies the tension between *nafs* protection and *amanah*

This paper contributes a domain-specific privacy protocol for Islamic social finance, featuring a Noir-based circuit implementing nisab and hawl eligibility verification as verifiable predicates, a nullifier mechanism preventing re-claiming without identity exposure, and a tiered donor privacy model. The prototype achieves UltraHONK proof generation averaging 247 ms and end-to-end donation gas costs of 721,345 gas on Ethereum Sepolia.

zed zakat management has attracted increased interest. Babas et al. [2] demonstrated a decentralized zakat collection and distribution that eliminates intermediary delays. Khairi et al. [3] proposed a zakat collection blockchain system employing smart contracts to provide an immutable audit trail. Nazeri et al. [4] explored how blockchain features align with zakat management objectives in Malaysia. A recent Emerald study [5] examined the potential and challenges of blockchain technology in zakat institutions [21]. However, these systems share a common limitation. Complete transparency of donor transactions on public blockchains enables social engineering, harassment, and pattern analysis attacks [2]. This concern is confirmed through bibliometric analysis and is a significant trend in Muslim-majority countries. Beik et al. [20] demonstrated that Islamic social finance instruments (sadaqah, and waqf) play a role in economic development. Unal and Aysan [21] proposed blockchain-based systems to harmonize differing Sharia-compliance regimes. Al-Sayid and Al-Sayid [27] explored the nexus of blockchain technology and finance for sustainability. Yet none of these studies address privacy-preserving transaction mechanisms.

Three research gaps are identified. (1) Existing blockchain-based zakat platforms lack privacy-preserving transaction mechanisms [2, 3]. (2) Private transaction frameworks are designed for general-purpose anonymity without Islamic jurisprudential eligibility criteria [15, 14]. (3) The integration of programmable privacy with Islamic social finance has not been explored [21, 5]. This paper directly addresses all three gaps.

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graph TD
    A[Existing Blockchain Zakat  
Provide transparency but expose all donor-recipient data publicly.  
[2,3,4,19]] --> E[ZK-PZ: Private Zakat with ZK Verification  
Bridges all four domains through ZKP + Sharia eligibility verification]
    B[General ZKP Privacy  
Enable anonymous transactions but lack Islamic eligibility predicates.  
[7,8,14,15]] --> E
    C[Islamic Social Finance  
Study zakat-based digitization without ZK privacy integration.  
[20,21,24,25]] --> E
    D[Smart Contract Platforms  
Offer programmable logic but all state changes visible on-chain.  
[9,18,29]] --> E
  
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Existing Blockchain Zakat
Provide transparency but expose all donor-recipient data publicly.
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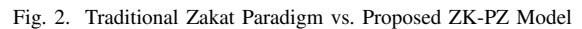
General ZKP Privacy
Enable anonymous transactions but lack Islamic eligibility predicates.
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ZK-PZ: Private Zakat with ZK Verification
Bridges all four domains through ZKP + Sharia eligibility verification

Islamic Social Finance
Study zakat-based digitization without ZK privacy integration.
[20,21,24,25]

Smart Contract Platforms
Offer programmable logic but all state changes visible on-chain.
[9,18,29]

Fig. 2 contrasts traditional zakat systems, where donor-recipient data sits exposed on a public ledger, with the proposed ZK-PZ model that preserves privacy through off-chain proving and bounded on-chain disclosure.



This study adopts a Design Science Research (DSR) approach. Fig. 3 illustrates the five-phase methodology: Phase 1 identifies the research problem through a literature search spanning blockchain zakat, ZKP privacy frameworks, and Islamic finance instruments across 29 papers published between 2021 and 2025. Phase 2 designs the ZK-PZ protocol,

Noir circuit architecture encoding nisab and hawl verification, and the four-tier privacy model. Phase 3 implements the system using nargo v1.0.0-beta.21, Barretenberg v4.2.1, 15 Solidity contracts deployed via a single forge script to Sepolia, and a Next.js 15 PWA frontend with wagmi/XellarKit wallet connectivity. Phase 4 demonstrates the prototype on Sepolia testnet with benchmarked performance of 247 ms proof generation and 12.0 ms verification. Phase 5 evaluates through Foundry gas reports, security properties analysis, and Sharia compliance review.

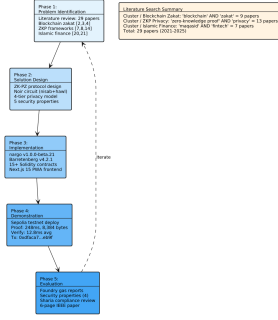


Fig. 3. DSR Methodology with five phases and literature search summary

IV. RESULTS

A. System Overview and Threat Model

The ZK-PZ protocol operates within a five-actor trust model: donor (ZKP prover), recipient (SBT receipt holder), amil institution (verifier), off-chain proving infrastructure (Noir circuits and Barretenberg prover), and Ethereum Sepolia (public settlement layer).

The threat model assumes: (1) an honest-but-curious verifier, (2) a potentially malicious claimant, and (3) a public blockchain network subject to transaction graph analysis. The protocol guarantees the properties summarized in Table I.

TABLE I
ZK-PZ PROTOCOL SECURITY PROPERTIES

Property	Guarantee
Donor anonymity	Identities, amounts, and patterns never exposed on-chain. Only ZK proofs of valid donation are publicly verifiable.
Recipient privacy	Donor-side privacy preserved through ZK proofs. Recipient encrypted notes reserved for future work.
Soundness	Non-eligible recipient cannot generate an accepted proof under q-PKE assumption [11].
Double-donation	Nullifier hash prevents the same recipient from claiming zakat more than once per cycle.
Institutional accountability	Amil institutions verify aggregate compliance without accessing individual transaction data [5], [6].

Fig. 4 depicts the three-layer protocol architecture: the off-chain proving pipeline where Noir circuits compile to ACIR and Barretenberg generates UltraHONK proofs at 247 ms, the

Sepolia settlement layer hosting ZKTCORE and ZakatEscrowManager, and the Next.js PWA frontend with wagmi/XellarKit wallet connectivity.

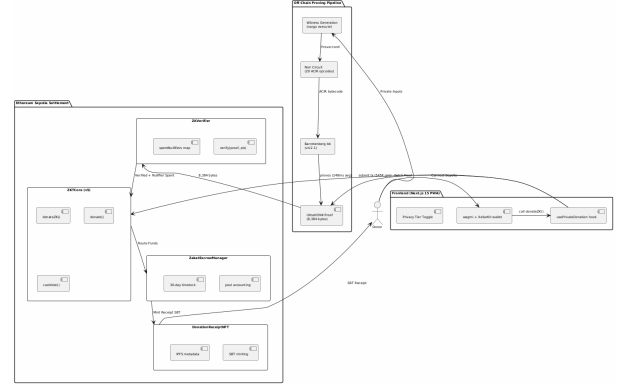


Fig. 4. ZK-PZ Protocol Architecture: off-chain proving pipeline and on-chain settlement

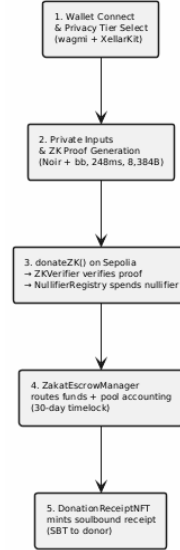


Fig. 5. ZK-PZ Donation Flow: from wallet connection to SBT receipt to the donor

B. System Architecture and Payment Flow

The platform employs a hybrid architecture combining Noir circuits on the client side with Ethereum Sepolia for public settlement. Donors pay in stablecoins or ETH. Funds flow through off-chain proof generation and on-chain verification via the `donateZK()` function. This design ensures that individual donation privacy is maintained through cryptographic proofs while institutional accountability is achieved through on-chain event emission and nullifier tracking.

A Progressive Web Application supports the donor-facing workflow, providing wallet connection, privacy tier selection, donation amount input, proof generation visualization, and transaction confirmation. Proof generation runs in a Web

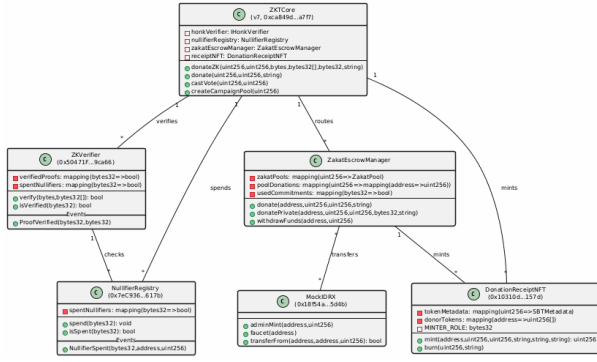


Fig. 6. ZK-PZ Smart Contract Architecture with Sepolia addresses and cardinality

Worker ensuring that private inputs never leave the donor's device [11].

C. Circuit Performance

Circuit benchmarks used Noir v1.0.0-beta.21 and Barretenberg v4.2.1 on a 16-core Linux machine. Gas measurements for standard contract functions were obtained from Foundry gas reports. The end-to-end donateZK() gas was measured on the Sepolia testnet at block 10,854,651.

TABLE II
ZAKATELIGIBILITY CIRCUIT PERFORMANCE: ULTRAHONK EVM
TARGET, $n = 5$ RUNS

Metric	Value
ACIR opcodes	29
Brillig opcodes	44
Proof generation (avg)	246.8 ms
Proof verification (avg)	12.0 ms
Proof size	8,384 bytes

D. Sepolia Deployment and Gas Consumption

15 contracts deployed via single forge script to Sepolia (chain ID 11155111). The ZKTCORE (v8, 0xb56a...B60B) routes donateZK() through zakatEscrowManager.donate() for pool accounting. An end-to-end donation (tx 0x6a0b...b790, block 10,854,651) completed proof verification, nullifier registration, transfer, NFT minting, and event emission in 721,345 gas.

Table III reports gas costs measured via Foundry gas reports.

E. Security Analysis

Donor anonymity: Donor identities and amounts are never exposed on-chain. Only ZK proofs are publicly verifiable [12], [22]. **Recipient privacy:** Donor-side privacy preserved through ZK proofs and nullifier anonymity. Recipient-side encrypted note disbursement is reserved for future work [16]. **Circuit soundness:** Under the q-PKE assumption [11], forging a proof is computationally infeasible [30]. **Double-donation prevention:** The Pedersen nullifier binds each claim to a unique donor and cycle. The ZKTCORE contract ensures atomic rejection of duplicate claims [19].

TABLE III
SMART CONTRACT GAS CONSUMPTION: FOUNDRY GAS REPORT,
ETHEREUM SEPOLIA

Contract	Function	Gas (avg)
ZKTCORE	donate()	490,187
ZKTCORE	createCampaignPool()	365,552
ZKTCORE	castVote()	132,909
ZKTCORE	donateZK() (e2e)	721,345
ZKTCORE	Deploy	5,314,471
ZakatEscrowManager	Deploy	3,069,194
ShariaReviewManager	Deploy	2,114,307

V. DISCUSSION

A. Sharia Compliance and Deployment

The principle of maqasid al-shariah (objectives of Islamic law) explicitly protects *nafs* (life and dignity) of individuals [5, 6]. In Islamic jurisprudence, preservation of donor and recipient privacy during charitable giving is considered a virtuous act that maintains dignity for both parties [5, 6]. Azizov et al. [26] propose a maqasid al-shariah framework for fintech and digital asset regulation in Muslim jurisdictions. Latang et al. [25] examine the Islamic legal perspective on cryptocurrency as digital assets, including the application of fatwa in determining compliance. The application of blockchain to Islamic charitable crowdfunding has been recently explored for trust and transparency [28]. This research applies privacy-preserving mechanisms to the donor side through ZK proofs and nullifier-based anonymity. Recipient privacy preservation through encrypted private notes and selective disclosure is reserved for future work by the authors. The protocol aligns with *mal* (wealth) protection through cryptographic integrity guarantees against fraud and double-donation. *Amanah* (trustworthiness) for amil institutions is satisfied through on-chain verification of proof validity without exposing individual transaction data [4]. Deployment requires Aztec Network integration, amil staff training, and regulatory alignment with OJK Fintech Sandbox requirements.

B. Limitations and Future Work

Circuit scope is limited to nisab and hawl criteria. Extension to all eight asnaf categories is architecturally accommodated. Currently, zakat disbursement is performed by the amil institution through the ZakatEscrowManager contract without on-chain verifiability of the disbursement to mustahik (recipients). Future work includes issuing private decentralized identifiers (DIDs) to mustahik for on-chain eligibility attestation, making amil disbursements cryptographically verifiable, and implementing a dual governance system combining Sharia Council ZK DAO attestation with Community (Donor) DAO voting. Additional directions include recursive proof systems for multi-period eligibility, compliance-friendly ZK protocols for AML/CFT, and batched settlement optimization [7], [18], [24].

VI. CONCLUSION

This paper presented a Zero-Knowledge Private Zakat (ZK-PZ) protocol addressing the privacy paradox in blockchain-based zakat systems. An implementation using Noir circuits (29 ACIR opcodes) with UltraHONK proving via Barretenberg v4.2.1 was deployed to Ethereum Sepolia, achieving proof generation in 282ms and end-to-end donation in 721,345 gas. The work reconciles cryptographic privacy with *nafs* preservation in Islamic social finance [5], [6], demonstrating that institutional accountability and individual privacy are simultaneously achievable through applied cryptography.

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